

PRACTICE LETTER: Russia and China escalation risks to dominate European politics this fall

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【メール原文】

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Practice Letter

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This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

Dear clients,

The busy fall period is upon us, and the European calendar between now and year-end will be hectic. Over this period and the first part of 2027, we believe transatlantic relations, ironically, are set to become the more stable part of Europe's external environment. Defense, trade, Greenland, and Ukraine will remain sources of transatlantic uncertainty and stress for some time to come. Nonetheless, all of these disputes are arguably negotiable. By contrast, Russia and China increasingly have incentives that point toward escalation rather than compromise with the EU.

Russia is becoming more dangerous because it's growing weaker

As we have been arguing, the risks in Russia start with the economy and the fiscal accounts (see note: Fiscal challenges boost escalation odds despite Putin's limited options). After the budget breached its planned deficit for 2026, President Vladimir Putin is running out of cheap and politically painless ways to finance the war, which the finance minister believes will require another two trillion rubles by year-end.

Absent a willingness to end the war, raise taxes, or borrow more, Putin is dipping into Russia's fiscal buffers and cutting expenditure in all areas bar defense and social policy. This approach will probably allow the Kremlin to get through the year, but the outlook for 2027 is more uncertain.

The key question is how Putin can keep spending in check while maintaining his operational goal of capturing Kramatorsk and Sloviansk, the last major Donbas cities. He hopes those gains will trigger a political crisis in Ukraine that weakens and removes President Volodymyr Zelensky from office.

Russia's financial challenge is the battlefield behind the battlefield, and it carries significant implications for the war. The Kremlin's best option, given these constraints, will be to try to end the war more quickly—and on its own terms. That is most likely to be achieved via escalation (a 60% probability). This will almost certainly go hand in hand with increased hybrid and kinetic attacks against NATO countries.

In forthcoming pieces, we will discuss the outlook for the Ukraine war this winter and the first half of 2027 in more detail, as well as the political implications and likely scenarios that may ensue should a Russian hybrid or kinetic attack result in civilian casualties in a European or NATO country. For now, Europe is focused on how it can best help Ukraine manage what is likely to prove another treacherous winter.

China is shifting from unfair economic competition to economic coercion

EU-China relations also appear to be on an escalatory trajectory, with disagreements becoming increasingly structural.

A broad political consensus now exists across the EU that China's economic practices require a political response (see note: Dispatch from Paris—EU gearing up for a tougher China stance). The main debate concerns how far the bloc is prepared to go. Beijing, meanwhile, increasingly sees Europe's trade defense measures, industrial policy, and economic security agenda as an attempt to constrain China's growth.

European Trade Commissioner Maros Sefcovic and his Chinese counterpart Wang Wentao have committed to resolving a number of outstanding issues by October. That may delay confrontation, but is unlikely to prevent it.

Ultimately, China is not going to abandon industrial subsidies, exchange-rate management, or its export-led growth model. These are central features of its economic strategy, not negotiating positions. Equally, the EU is unlikely to retreat from its economic security agenda. The new instruments in the EU's legislative pipeline—the Industrial Accelerator Act, the Cyber Security Act, the Public Procurement Act, a new investment screening mechanism, and a forthcoming overcapacity instrument—all point to an EU desire to be more strategic and systemic in protecting the single market from Chinese overcapacity. That is why both sides are moving into an action-reaction cycle.

While the objective on each side is to increase pressure on the other without triggering a full-scale trade war, the probability of one clearly rises over the medium term. Neither side is likely to give ground on the issues that matter most, leaving the underlying drivers of the dispute firmly in place.

While the EU builds its new instruments, it will rely on its existing trade defense toolkit to protect strategic sectors most at risk from subsidized Chinese competition, such as machinery, chemicals, and the bloc's automotive sectors. Here, the European Commission will lean more heavily on its more nimble trade safeguards instruments rather than its more cumbersome anti-dumping and countervailing duties.

Looming elections could undermine EU's ability to manage external threats

Besides these escalation risks, domestic politics are set to become more active, as several key EU member states—Germany, France, Italy, Poland, and Spain—prepare for crucial local and national elections this year and next. These contests could affect the EU's ability to stay united in response to geopolitical challenges.

In Germany, Chancellor Friedrich Merz faces a tumultuous fall as three September state elections are set to weaken both the Christian Democratic Union (CDU) and the Social Democratic Party (SPD), while Alternative for Germany (AfD) is well placed to lead the government in Saxony-Anhalt. Poor results will

deepen the leadership crises in both parties, raising the likelihood of challenges against SPD co-chairs Lars Klingbeil and Barbel Bas and CDU chair Merz. Nonetheless, a national government collapse before year-end remains unlikely (a 20% probability).

In France, politics through the spring will be dominated by what may be the most consequential French election since the Second World War. We still believe that

Marine Le Pen has a significant chance of becoming president of the Republic. We place her odds at 42.7%, compared with 43.2% for the strongest mainstream candidate, former centrist prime minister Edouard Philippe.

Le Pen will face more intense scrutiny this fall over her economic policies, a mix of low taxes and high social spending. She is under pressure to shift toward more realistic positions, especially on reforming the loss-making state pension system. If she ducks that challenge, as we believe she will, doubts about her competence will grow.

In Italy, the election is likely to take place in spring, with Giorgia Meloni the slight favorite to secure a parliamentary majority (a 60% probability). The emergence of a broad opposition alliance and the rise of rival far-right party National Future have, however, made the outcome considerably more uncertain. It will ultimately hinge on the government succeeding in changing the electoral system to tip the scales in its favor and co-opting National Future into her ruling coalition. But even if Meloni is successful on both fronts, the election will be close.

Regardless of the result, Italy will probably become a less dependable EU partner than it has been since 2022. The largest effects will likely appear in foreign policy. Either under a more right-leaning Meloni government or a center-left coalition, Italy would struggle to meet commitments for higher defense spending or support additional EU financial aid for Ukraine beyond 2027 or Ukraine's EU accession path.

With a possible spring election looming in Spain, Prime Minister Pedro Sanchez faces an uphill battle. Support for his ruling Socialist Party has fallen because of concerns about corruption, migration, and legislative gridlock.

The conservative opposition, led by the center-right Popular Party and comprising the far-right Vox, has a solid lead in the polls of about 10 percentage points. There is therefore a 75% chance that the election will produce a PP-Vox government—likely featuring Vox in the national cabinet for the first time. Nonetheless, a PP-led conservative government would most likely govern from the center. Vox's influence would likely be strongest on migration and identity issues and weaker on the economy or foreign policy. Moreover, unlike other far-right parties across Europe, Vox is generally supportive of Ukraine and NATO. Spain's position on China would likely move back toward the EU consensus.

In Poland, Tusk's Civic Coalition (KO) has a 60% chance of winning elections that need to be held by mid-November. KO continues to lead the polls at about 33%, and the opposition remains divided. Poland's solid economic performance, combined with the growing internal conflict within Law and Justice on the right, has further benefited KO. Tusk's main challenge will be government formation: His current poll lead is insufficient to secure a majority, while most of his coalition partners currently intend to run separately and are polling below the 5% threshold.

Happy to discuss,

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